

23STCV19464 23STCV19464

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Case Number: 23STCV19464 Hearing Date: July 29, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Janiel Victorino v. All-City Management Services, Inc.

Case

No.: 23STCV19464

Hearing Date:

July 29, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$1,066,666.67 (33 1/3%) for attorney fees to Class Counsel, Justice Law Corporation; (2) \$23,346.19 for attorney costs to Class Counsel; (3) enhancement payment of \$10,000 to the class representative, Janiel Victorino; (4) \$150,000 (75% of \$200,000 PAGA penalty) to the LWDA; and (5) \$55,950 for settlement administration costs to Phoenix Class Action Administration Solutions.

Plaintiff's counsel

shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and the names of the class members who requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date of _____ for review of the final report, which shall be filed at least five court days beforehand.

BACKGROUND

Plaintiff

Janiel Victorino sued her former employer, Defendant All-City Management Services, Inc., for alleged wage and hour violations. Plaintiff seeks to represent a class of Defendant's current and former non-exempt employees of Defendant employed as crossing guards within the State of California at any time during the Class Period.

On

August 15, 2023, Plaintiff provided written notice to the California Labor and Workforce Development Agency ("LWDA") and Defendant.

On

June 10, 2024, Plaintiff filed a wage-and-hour class action lawsuit against Defendant alleging causes of action for: (1) Violation of California Labor Code §§ 510 and 1198 (Unpaid Overtime); (2) Violation of California Labor Code §§ 226.7 and 512(a) (Unpaid Meal Period Premiums); (3) Violation of California Labor Code § 226.7 (Unpaid Rest Period Premiums); (4) Violation of California Labor Code §§ 1194 and 1197 (Unpaid Minimum Wages); (5) Violation of California Labor Code §§ 201 and 202 (Final Wages Not Timely Paid); (6) Violation of California Labor Code § 226(a) (Non-Compliant Wage Statements); (7) Violation of California Labor Code §§ 2800 and 2802 (Unreimbursed Business Expenses); (8) Violation of California Labor Code § 2698, et seq. (Private Attorneys General Act of 2004); and (9) Violation of California Business & Professions Code § 17200, et seq.

On

November 11, 2023, Plaintiff filed a First Amended Complaint after exhaustion of the 65-day notice period.

During

investigation and discovery, it was revealed that Defendant's crossing guard employees do not work sufficient hours per shift, or in a week, to qualify for overtime wages. Accordingly, on June 4, 2024, Plaintiff filed the operative Second Amended Complaint removing the cause of action for unpaid overtime wages.

On

August 12, 2025, the Parties attended mediation with the mediator Warren Jackson that resulted in the settlement of this matter. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on December 30, 2025.

On March

11, 2026, the Court granted preliminary approval of the settlement.

Notice was given to

the Class Members as ordered (see Declaration of Kevin Lee Decl.")). Now before the Court is the Motion for Final Approval of the settlement.

SETTLEMENT

CLASS DEFINITION

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"Class" means all current and former hourly-paid or non-exempt employees of Defendant employed as crossing guards within the State of California at any time during the Class Period. (¶A.5)

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"Class

Period" means the period from August 15, 2019, through August 12, 2025. (¶A.12)

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"Aggrieved

Employees" means all current and former hourly-paid or non-exempt employees of Defendant employed as crossing guards within the State of California at any time during the PAGA Period. (¶A.4)

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“PAGA

Period” means the period from August 15, 2022, through August 12, 2025. (¶A.32)

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“Participating

Class Member” means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶A.34)

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Compliance

Implementation Period: Defendant represents that it is in the process of updating its policies, procedures, and payroll practices to ensure ongoing compliance with the Labor Code and applicable IWC Wage Orders. The Parties acknowledge and agree that the Class Period and PAGA Period end on August 12, 2025, and that no claims, penalties, or damages shall accrue against Defendant for any alleged Labor Code violations occurring after that date. (¶C.3)

TERMS

OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount (“GSA”) is \$3,200,000, non-reversionary.
(¶C.1)

o Escalator Clause: If it is determined that the number of Workweeks within the Class Period exceeds ten percent (10%) or more of 829,898 Workweeks (i.e., more than 912,888 Workweeks) Defendant shall have the election to either: (1) cut off the Class Period and PAGA Period as of the date the 912,888 Workweek threshold is reached; or (2) proportionally increase the Gross Settlement Amount by the number of Workweeks over the ten percent (10%) increase (i.e., if the number of Workweeks increases by 12%, then the Gross Settlement Amount will increase by 2%). (¶H)

o At final approval, the settlement administrator represents that after receiving and reviewing the Class Data, they determined that the Escalator Clause was not triggered. (Lee Decl., ¶18.)

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The

Net Settlement Amount ("Net") estimated at preliminary approval (\$1,780,000) is the GSA minus the following:

- o Up to \$1,120,000

- (35%) for

- attorney fees (§C.2.a);

- o Up to \$30,000 for litigation costs (Ibid.);

- o Up to \$10,000 for a Service Payment to the named Plaintiff (§C.2.b);

- o Up to \$60,000 for settlement administration costs (§C.2.c); and

- o Payment of \$200,000 PAGA penalty (75% or \$150,000 to the LWDA). (§C.2.d)

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Defendant

will pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (§C.1)

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There

is no claim form requirement. (§C.1)

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Individual Settlement Payment Calculation: Each

Participating Class Member will receive an Individual Class Payment calculated by: (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period; and (b) multiplying the result by each Participating Class Member's Workweeks during the Class Period. (§C.2.e)

The Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will allocate amounts equal to their Individual Class Payments to the Net Settlement Amount for distribution to Participating

Class Members on a pro rata basis. (§C.2.e.ii)

o PAGA Payments: The Administrator will calculate each Individual PAGA Payment by: (a) dividing the twenty-five percent (25%) share of PAGA Penalties (\$50,000) by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period; and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods during the PAGA Period. (§C.2.d.i)

o Tax Allocation: Each Participating Class Member's Individual Class Payments will be allocated as follows: 10% as wages, 90% as interest and penalties. (§C.2.e.i) The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (§C.2.d.ii)

Response Deadline: "Response Deadline" means forty-five (45) calendar days after the Administrator mails the Class Notice to Class Members and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement; or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Class Notices are resent after having been returned undeliverable to the Administrator shall have an additional fourteen (14) calendar days beyond the Response Deadline has expired. (§A.42) The same deadlines apply to the submission of workweek disputes. (§G.6.a)

Funding

of Settlement: Defendant shall fund the Gross Settlement Amount and all employer payroll taxes owed on the Wage Portion of the Individual Class Payments by transmitting the funds to the Administrator no later than the Effective Date. (§D.2)

Disbursement:

Within fourteen (14) calendar days after Defendant fully funds the Gross Settlement Amount, the Administrator will mail checks for the appropriate entities and persons. Disbursement of the Class Counsel Fees Payment, Class Counsel Litigation Expenses Payment, and Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§D.3)

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Uncashed Settlement Checks: The face of each check shall state checks that are not cashed within one hundred eighty (180) calendar days after the date of mailing will be voided. (¶D.3.a) For any Class Member whose settlement check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member, thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b). (¶D.3.c)

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The settlement administrator will be Phoenix Class Action Administration Solutions. (¶A.2)

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The proposed settlement was submitted to the LWDA on December 30, 2025. (Han Decl. ISO Prelim, Exhibit 7.)

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Releases of Claims. Effective on the date when Defendant fully funds the Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶E)

o Release by the Participating Class Members: All the Participating Class Members, on behalf of themselves and their former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release the Released Parties from all claims that were alleged, or could have been alleged, under state or local law, arising out of the: (a) facts, claims, and theories expressly pleaded in the Operative Complaint; (b) facts, claims, and theories expressly raised in the PAGA Notice; (c) facts, claims, and theories alleging violation of any applicable IWC Wage Orders, or alleging violations of Labor Code sections 201, 202, 203, 204, 210, 218.5, 221, 226(a), 226(e), 226.3, 226.7, 246, 432.5, 512(a), 551, 552, 558, 1174(d), 1194, 1194.2, 1197, 1197.1, 2800, and 2802, and Business and Professions Code section 17200 et seq.; (d) any other claims or penalties under the wage and hour laws pleaded in the Operative

Complaint; and/or (e) all damages, penalties, interest, and other amounts recoverable under said claims, causes of action, or legal theories of relief in the Operative Complaint ("Released Class Claims"). (¶E.2) Except as set forth in Section E.3. of this Agreement, the Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (¶E.2.a)

o Release by the

Aggrieved Employees: The State of California with respect to all the Participating and Non-Participating Class Members, who are Aggrieved Employees, are deemed to release, on behalf of themselves and their former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or could have been alleged, based on the: (a) facts, claims, and theories expressly pleaded in the Operative Complaint; (b) facts, claims, and theories expressly raised in the PAGA Notice; and/or (c) facts, claims, and theories alleging violation of any applicable IWC Wage Orders or alleging violations of Labor Code sections 201, 202, 203, 204, 210, 218.5, 221, 226(a), 226.3, 226.7, 246, 432.5, 510, 512(a), 551, 552, 558, 1174(d), 1194, 1197, 1197.1, 1198, 2800, and 2802 ("Released PAGA Claims"). (¶E.3)

§ "PAGA Notice" means

the letter sent to the LWDA and Defendant on August 15, 2023 providing notice pursuant to Labor Code section 2699.3, subdivision (a). (¶A.30)

o "Released Parties" means Defendant and

its parents, shareholders, members, predecessors, successors, all affiliates, subsidiaries, officers, directors, members, agents (including any investment bankers, accountants, insurers, reinsurers, attorneys and any past, present, or future officers, directors, and employees), employees, and stockholders. (¶A.40)

o

Named Plaintiff will also

provide a general release and CC § 1542 waiver. (¶E.1)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of March 11, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class.

Reaction
of the class members to the proposed settlement.

Number of class members: 11,208

(Lee Decl.,

¶6.)

Number of notice packets mailed: 11,208 (Id. at ¶7.)

Number of undeliverable notices: 1 (Id. at ¶9.)

Number of opt-outs: 5 (Id. at ¶12.)

Number of objections: 0 (Id. at ¶11.)

Number of participating class members: 11,203 (Id.
at ¶13.)

Average individual payment: \$159.84 (Id. at ¶15.)

Highest individual payment: \$700 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$1,120,000 (35%) in fees and \$23,346.19 in costs. (Memo ISO Final at 9:23-24.) The Settlement Agreement provides for up to \$1,120,000 (35%) of the GSA in fees and \$30,000 in costs (§C.2.a).

"Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 14-24.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents 35% of the gross settlement amount, which is above the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ["Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery."].)

Class

Counsel has provided some information, summarized below, regarding their lodestar on this case:

Attorney

Rates

Hours

Totals

Douglas
Han

\$900

147.3

\$132,570.00

Shunt
Tatavos-Gharajeh

\$800

132.7

\$106,160.00

William
Wilkinson

\$500

178.1

\$89,050.00

Totals

458.1

\$327,780.00

(Declaration of Douglas Han ISO Final, ¶¶8-11, Exhibit 1.)

Counsel's percentage-based fee request is considerably
higher than the unadjusted lodestar and would represent application of a

multiplier of approximately 3.42x. Notice of the fee request was provided to class members in the notice packet and no one objected. (Lee Decl., ¶11, Exhibit A.)

No evidence is presented suggesting a fee award of 35% is appropriate. There is nothing to suggest this case involved novel legal issues or particularly difficult facts. Plaintiff's counsel is experienced in wage and hour cases and have not shown they took any risk in excess of that normally taken in any other contingent fee case of this type.

Fees are set at 33 1/3% of the GSA or \$1,066,666.67, resulting in a multiplier of 3.25x, which is ample given that it is already well in excess of the lodestar and rewards counsel for any risk they took in this case.

As for costs, Class Counsel is requesting a cost amount of \$23,346.19. This is less than the \$30,000 cap estimated at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Lee Decl., ¶11, Exhibit A.) Counsel represent that costs include but are not limited to: filing and service fees, expert fees, court reporters, transcript fees, and mediation fees. (Han Decl. ISO Final, ¶23, Exhibit 6.) The costs appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the Court awards \$1,066,666.67 in fees and \$23,346.19 in costs.

D. Incentive Award

The class representative, Janiel Victorino, seeks a service award of \$10,000 for her contributions to the action. (Memo ISO Final at 24:12-13.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they "should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class."

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id.

at 806-807, italics and ellipsis in original.)

Plaintiff represents that her contributions

to this litigation include: (a) gathering her employment documents (e.g., personnel records); (b) reviewing documents with her attorneys and answering any questions and inquiries; (c) providing the names and contact information of the putative class members for her attorneys to locate and interview to corroborate the allegations; (d) speaking with other current and former employees of Defendant to gather support for her claims; (e) providing guidance regarding other employees’ duties and responsibilities to help determine commonality and typicality; (f) discussing her employment experience (and work environment created by Defendant); (g) reviewing the operative complaints and Settlement Agreement (and exhibit); (h) assisting her attorneys to look over the answers to the operative complaints; (i) reviewing the written notices sent to the California Labor and Workforce Development Agency and Defendant; (j) helping her attorneys develop strategies to obtain additional documents from Defendant and other sources; (k) assisting her attorneys to look over the formal discovery requests before propounding them, including the responses; (l) gathering the necessary documents and information to respond to the formal discovery requests; (m) preparing for and having her deposition taken; and (n) preparing for and making herself available all day to participate in and provide her input for mediation. She estimates spending 40 hours on the case. (Declaration of Janiel Victorino ISO Final, ¶¶4-9.)

Based on the above,

as well as the benefits obtained on behalf of the class, the Court grants an enhancement payment in the amount of \$10,000 to Plaintiff.

E.

Settlement Administration Costs

The settlement

administrator, Phoenix, is requesting \$55,950 for the costs of settlement administration. (Lee Decl., ¶17.) This is less than the estimate of \$60,000 provided for at preliminary approval (¶C.2.c) and disclosed to the class on the Notice, to which there were no objections. (Lee Decl., ¶11, Exhibit A.) Based on the above, the recommendation is to award costs in the requested amount of \$55,950.